

Industry ▾

978 Real Estate—Time-Sharing Activities

978 Real Estate—Time-Sharing Activities

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Exchange (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	Fair Value	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Fractional Interests	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Integral Equipment	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Phase (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	978-10-05-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	978-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	978-10-05-2	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	978-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014

978-10-05-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-10-05-6	Amended	Accounting Standards Update No. 2014-06	03/14/2014
978-10-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-10-15-7 through 15-12	Added	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

 [Related Proposed ASUs](#)

978-10-05-1

The Codification contains several Topics for real estate due to the differing accounting treatment for various real estate subindustries. The Topics include:

- a. Real Estate—General
- b. Real Estate—Common Interest Realty Associations
- c. Real Estate—Real Estate Investment Trusts
- d. Real Estate—Time-Sharing Activities
- e. Real Estate—Retail Land.

See also Subtopic [842-40](#) for accounting guidance for the sale of real estate that is part of a sale and leaseback transaction.

978-10-05-2

The Real Estate—Time-Sharing Activities Topic addresses the unique accounting and reporting issues for real estate [time-sharing](#) activities. This Topic includes the following Subtopics:

- a. Overall
- b. Statement of Cash Flows
- c. Accounting Changes and Error Corrections
- d. Receivables
- e. Inventory
- f. Other Assets and Deferred Costs
- g. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- h. Other Expenses
- i. Consolidation

j. [Subparagraph superseded by Accounting Standards Update No. 2016-02.](#)

> Other Considerations

- 978-10-05-3** The real estate time-sharing industry has a variety of time-sharing structures used by sellers. The term *developer* is used interchangeably and synonymously with *seller* in this Topic.
- 978-10-05-4** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 978-10-05-5** Time-sharing transactions are characterized by the following:
- Volume-based, homogeneous sales
 - Seller financing
 - Relatively high selling and marketing costs
 - Upon default, recovery of the time-sharing [interval](#) by the seller and some forfeiture of principal by the buyer.
- 978-10-05-6** The time-sharing industry has introduced a variety of transaction structures to differentiate its products and enhance sales volumes. For example, buyers often have the right to exchange periodic use of their time-sharing intervals for use of other time-sharing intervals or for various consumer products, frequently through a third-party exchange entity. In this context, an *exchange* is the trading, by a purchaser of a time-sharing interval, of that time-sharing interval for a given year for another time interval, another location, or another kind of privilege of ownership. Such trading is often effected through the buyer's membership in an exchange entity. Many developers also offer an internal exchange program. Buyers typically pay a fee for exchange privileges. Time-sharing transactions include the sale of [fixed time](#) and [floating time](#), [points](#) (which may be redeemed so that a buyer may occupy a specific property), vacation clubs, and [fractional interests](#); the use of time-sharing special-purpose entities to hold title to real estate; and the provision of the right to use real estate for a specified period.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure

requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

978-10-15-1 The Subtopics within the Real Estate—[Time-Sharing](#) Activities Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

978-10-15-2 This Topic provides guidance for all entities that sell real estate [time-share](#) interests.

> Transactions

- 978-10-15-3** The guidance in this Topic applies to the following transactions:
- Fee simple transactions in which nonreversionary title and ownership of the real estate pass to the buyer or a [special-purpose entity](#)
 - Transactions in which title and ownership of all or a portion of the real estate remain with the seller
 - Transactions in which title and ownership of all or a portion of the real estate pass to the buyer and subsequently revert to the seller or transfer to a third party
 - Transactions by a time-share reseller.
- 978-10-15-4** Paragraphs [978-10-15-7 through 15-12](#) provide guidance that is useful in determining what constitutes real estate for purposes of this Subtopic.
- 978-10-15-5** The guidance in this Topic does not apply to the following transactions:
- Time-sharing transactions in other long-lived assets such as cruise ships, corporate jets, and other kinds of transportation equipment.

> Other Considerations

978-10-15-6 Throughout this Topic, reference is made to a [project](#) or to a [phase](#) of a project. A project may consist of a single phase. A time-share seller shall establish and delineate a project and its phases at the outset of the project. Each phase shall be accounted for separately.

> Determining What Constitutes Real Estate

978-10-15-7 Determining whether a transaction is in substance the sale of real estate requires judgment. However, in making that determination, one shall consider the nature of the entire real estate component being

sold (that is, the land plus the property improvements and **integral equipment**), and not the land only, in relation to the entire transaction. Further, that determination shall not consider whether the operations in which the assets are involved are traditional or nontraditional real estate activities. For example, if a ski resort is sold and the lodge and ski lifts are considered to be affixed to the land (that is, they cannot be removed and used separately without incurring significant cost), then it would appear that the sale is in substance the sale of real estate. Transactions involving the sale of underlying land (or the sale of the property improvements or integral equipment subject to a lease of the underlying land) shall not be bifurcated into a real estate component (the sale of the underlying land) and a non-real-estate component (the sale of the lodge and lifts).

- 978-10-15-8** The determination of whether equipment is integral equipment shall be based on the significance of the cost to remove the equipment from its existing location (which would include the cost of repairing damage done to the existing location as a result of the removal), combined with the decrease in the **fair value** of the equipment as a result of that removal.
- 978-10-15-9** At a minimum, the decrease in the fair value of the equipment as a result of its removal is the estimated cost to ship and reinstall the equipment at a new site. If there are multiple potential users of the leased equipment, the estimate of the fair value of the equipment as well as the costs to ship and install the equipment shall assume that the equipment will be sold to the potential user that would result in the greatest net cash proceeds to the seller.
- 978-10-15-10** The nature of the equipment, and the likely use of the equipment by other potential users, shall be considered in determining whether any additional diminution in fair value exists beyond that associated with costs to ship and install the equipment.
- 978-10-15-11** When the combined total of both the cost to remove plus the decrease in fair value exceeds 10 percent of the fair value of the equipment (installed), the equipment is integral equipment.
- 978-10-15-12** The phrase *cannot be removed and used separately without incurring significant cost* contains both of the following distinct concepts:
- The ability to remove the equipment without incurring significant cost
 - The ability of a different entity to use the equipment at another location without significant diminution in utility or fair value.

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Fixed Time

A time-sharing arrangement in which ownership is passed through a deed and the buyer purchases a specific period (generally, a specific week) during the year.

Floating Time

A time-sharing arrangement in which ownership is passed through a deed but the buyer is not limited to a specific period (generally, a specific week) during the year.

Fractional Interest

A partial ownership interest in real estate that typically includes larger blocks of time on an annual basis (for example, three weeks or more).

Integral Equipment

Integral equipment is any physical structure or equipment attached to the real estate that cannot be removed and used separately without incurring significant cost.

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Phase

A contractually or physically distinguishable portion of a real estate project (including time-sharing projects). That portion is distinguishable from other portions based on shared characteristics such as:

- a. Units a developer has declared or legally registered to be for sale
- b. Units linked to an owners association
- c. Units to be constructed during a particular time period
- d. How a developer plans to build the real estate project.

Points

Purchased vacation credits that a buyer may redeem for occupancy at various sites. The number of points redeemed depends on such factors as unit type and size, site location, and season.

Project

A time-sharing development; some projects may be completed in a single phase, such as a single, one-story building containing several time-sharing units. Other projects may be completed in several phases, for example:

- a. A hotel that is being converted to time-sharing units one floor at a time while the unconverted units continue to be rented
- b. A number of buildings, each containing several time-sharing units, being built on a piece of property over an extended period of time.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Share

See [Interval](#).

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Interest

See [Interval](#).

Time-Sharing Special-Purpose Entity

An entity, typically a corporation or a trust, to which a seller transfers time-sharing real estate in exchange for the entity's stock, membership interests, or beneficial interests.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

978-10-25-1 As indicated in paragraph [978-10-15-6](#), a [time-share](#) seller shall establish and delineate a [project](#) and its phases at the outset of the project and each [phase](#) shall be accounted for separately.

978 Real Estate—Time-Sharing Activities

230 Statement of Cash Flows

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-230-05-1 This Subtopic addresses cash flow presentation matters for real estate [time-sharing](#) transactions.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-230-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

978-230-45-1 Changes in [time-sharing](#) notes receivable, including sales of the notes, shall be reported in the statement of cash flows as cash flows from operating activities.

978 Real Estate—Time-Sharing Activities

250 Accounting Changes and Error Corrections

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-250-05-1 This Subtopic addresses changes in the delineation of [time-share](#) projects and phases.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-250-15-1 This Subtopic follows the same Scope and Scope Exceptions as the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Project

A time-sharing development; some projects may be completed in a single phase, such as a single, one-story building containing several time-sharing units. Other projects may be completed in several phases, for example:

- a. A hotel that is being converted to time-sharing units one floor at a time while the unconverted units continue to be rented
- b. A number of buildings, each containing several time-sharing units, being built on a piece of property over an extended period of time.

Time-Share

See [Interval](#).

[Time-Sharing Interest](#)

See [Interval](#).

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Seller Identification of Projects and Phases

978-250-35-1 A change in the delineation of a [project](#) or its phases that results from a significant change in facts and circumstances related to the project's development—for example, significant revisions in sales prices or discount programs, construction contract price or inflation changes, temporary construction delays, design changes, or a decision by the seller to increase significantly the proportion of luxury versus standard units in a project—shall be accounted for as a change in accounting estimate in accordance with Subtopic [250-10](#) using a current-period adjustment as discussed in paragraph [978-330-35-1](#). A change in the delineation of a project or its phases without a significant change in facts and circumstances related to the project's development shall be accounted for as a change in the method of applying an accounting principle under Subtopic [250-10](#). An example of this latter change would be a decision to divide the same development of a project into more or fewer phases, which would be a change only in how the project is accounted for rather than a change in the nature (that is, the facts and circumstances) of the project itself.

978 Real Estate—Time-Sharing Activities 310 Receivables

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-310-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Assumption	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Modification (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	Percentage-of-Completion Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Sales Value	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	978-310-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	978-310-30-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	978-310-35-4	Amended	Accounting Standards Update No. 2022-02	03/31/2022
	978-310-35-4 through 35-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	978-310-35-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	978-310-35-5	Amended	Accounting Standards Update No. 2016-13	06/16/2016
	978-310-35-6	Amended	Accounting Standards Update No. 2016-13	06/16/2016
	978-310-35-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	978-310-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	978-310-40-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

978-310-45-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-310-50-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-310-05-1 This Subtopic addresses [time-sharing](#) receivables recognition and measurement issues.

978-310-05-2 Most sales of time-sharing intervals are to retail consumers, who often choose to use seller-provided financing. Although certain financial institutions will participate in the securitization or hypothecation of portfolios of time-sharing receivables, financial institutions typically will not finance the purchase of individual time-sharing intervals. Therefore, a majority of the sales price is often financed by the [time-share](#) seller through a promissory note (generally, with a term of 5 to 10 years) signed by the buyer. The promissory note is typically a [recourse](#) note secured by the time-sharing [interval](#). Delinquency and default rates on promissory notes vary widely among individual time-sharing entities and tend to fluctuate in line with the general state of the economy.

978-310-05-3 In an effort to manage cash flows, many time-share sellers will sell, hypothecate, securitize, or otherwise monetize their receivables through another party. In general, those transactions are completed with some recourse to the time-share seller (that is, if receivables are uncollectible, the seller is liable for the bad debts up to stated limits).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

978-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Amenities

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Deferment

The postponement of some or all of a debtor's payment obligations.

Downgrade

A transaction under which, as a result of credit concerns, the holder of a time-sharing interval returns the interval to the seller in exchange for a lower-valued interval (and a corresponding reduction in contractual payment obligation). The determination of whether the value is lower is based on a comparison of the sales value of the new interval with the original sales value of the original interval.

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Promised Amenities

Amenities that a developer is obligated to construct under the terms of time-sharing contracts with purchasers. See also [Amenities](#).

Recourse

The right of a transferee of receivables to receive payment from the transferor of those receivables for any of the following:

- a. Failure of debtors to pay when due
- b. The effects of prepayments
- c. Adjustments resulting from defects in the eligibility of the transferred receivables.

Relative Sales Value Method

The relative sales value method is similar to a gross profit method and is used to allocate inventory cost and determine cost of sales in conjunction with a sale. Under the relative sales value method, cost of sales is calculated as a percentage of net sales using a cost-of-sales percentage—the ratio of total estimated cost (including costs to complete, if any) to total estimated time-sharing revenue. Time-sharing revenue is calculated as total expected future revenue adjusted for total expected future bad-debt expense.

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Share

See [Interval](#).

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Interest

See [Interval](#).

Uncollectibility

A situation in which, as a result of credit issues, the time-share seller is unable to collect all amounts due (both principal and interest) according to the contractual terms of a note receivable from a buyer, or a time-share receivable has not been written off but facts and circumstances indicate that it is probable that the seller will not collect all contractual payments. Any sale that, as a result of credit issues, is cancelled or modified subsequent to being recorded as a sale is considered uncollectible. For purposes of this definition, probable is defined in paragraph [450-20-25-1](#) as "likely to occur".

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

978-310-30-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

978-310-30-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Collectibility of Receivable

978-310-35-1 The collection of notes receivable is an important function for sellers of [time-sharing](#) intervals. [Time-share](#) sellers experience some level of [uncollectibility](#) in a notes receivable portfolio in the ordinary course of business. To maximize collections, sellers use several kinds of collection programs, including modifications, deferments, assumptions, and downgrades. Sellers incur various costs in

using those collection programs. The following provides guidance on accounting for various forms of uncollectibility and the associated costs.

- 978-310-35-2** Uncollectibility incorporates losses of both principal and interest. Accrued interest income receivable that is determined to be uncollectible shall be charged against interest income at the time the receivable is determined to be uncollectible.
- 978-310-35-3** Uncollectibility occurs whenever a receivable either becomes wholly uncollectible or is modified in some manner that results in less than 100-percent collection of the original note. The measurement of uncollectibility shall be based on actual receivables collection experience (and other considerations)—whether the seller or a third party is the servicer of the receivables—rather than the amounts a seller receives as proceeds for receivables sales, securitizations, or hypothecations.
- 978-310-35-4** A creditor (time-share seller) shall account for a note receivable modification or [deferment](#) in accordance with Topic [310](#). A creditor shall account for a [downgrade](#) that results in an expected credit loss in accordance with Topic [326](#) on credit losses. Any reductions in the recorded investment in a note receivable resulting from the application of that Topic shall be charged against the allowance for uncollectibles. Incremental, direct costs associated with uncollectibility, such as costs of collection programs, shall be charged to expense as incurred.
- 978-310-35-5** When a time-sharing sale transaction has been recorded, accounting for the allowance for credit losses follows similar valuation principles as any receivable. Each reporting period and at least quarterly a seller evaluates its receivables, estimates the amount it expects to ultimately collect, and evaluates the appropriateness of its allowance pursuant to Subtopic [326-20](#) on financial instruments measured at amortized cost. The allowance is then adjusted in accordance with Subtopic [326-20](#). A corresponding adjustment is also made to cost of sales and inventory.
- 978-310-35-6** The allowance for credit losses shall be determined based on consideration of expected credit losses by year of sale, as well as the aging of notes receivable and factors such as the location of the time-sharing units, contract terms, collection experience, economic conditions, reasonable and supportable forecasts, and other qualitative factors as appropriate in the circumstances.
- 978-310-35-7** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

- 978-310-40-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

978-310-40-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

978-310-45-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 978-310-50-1** As noted in paragraph [978-330-35-1](#), the effects of changes in estimate in the [relative sales value method](#) shall be disclosed in accordance with Topic [250](#). In addition to the information otherwise required by generally accepted accounting principles (GAAP), the financial statements of entities with [time-sharing](#) transactions shall disclose all of the following:
- Maturities of notes receivable for each of the five years following the date of the financial statements and in the aggregate for all years thereafter. The total of the notes receivable balances displayed with the various maturity dates shall be reconciled to the balance-sheet amount of notes receivable.
 - The weighted average and range of stated interest rates of notes receivable.
 - The estimated cost to complete improvements and [promised amenities](#).
 - The activity in the allowance for uncollectibles, including the balance in the allowance at the beginning and end of each period, additions associated with current-period sales, direct writeoffs charged against the allowance, and changes in estimate associated with prior-period sales. If the

developer sells receivables with [recourse](#), the seller shall provide the same disclosure of activity on receivables sold.

e. [Subparagraph superseded by Accounting Standards Update No. 2014-09](#).

978 Real Estate—Time-Sharing Activities

330 Inventory

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-330-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Deposit Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Incremental Costs from Incidental Operations	Added	Accounting Standards Update No. 2014-09	05/28/2014
Incremental Revenue from Incidental Operations	Added	Accounting Standards Update No. 2014-09	05/28/2014
Mini-Vacation	Added	Accounting Standards Update No. 2014-09	05/28/2014
Phase (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Sampler Program	Added	Accounting Standards Update No. 2014-09	05/28/2014

Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
978-330-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-330-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-330-30-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-330-30-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-330-30-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-330-35-1 through 35-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-330-35-6	Amended	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-330-05-1 This Subtopic addresses real estate [time-sharing](#) inventory measurement issues. Time-sharing inventory consists of [time-sharing interests](#) or [intervals](#).

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 978-330-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#), with specific transaction exceptions noted below.
- 978-330-15-2** See paragraph [978-810-25-3](#) for guidance concerning when an entity shall recognize its interests in a [special-purpose entity](#) as inventory.

> Transactions

- 978-330-15-3** The guidance in this Subtopic applies to the following transactions and activities:
- All [time-sharing](#) sale transactions that are within the scope of Topic [606](#) on [revenue](#) from [contracts](#) with [customers](#).
- 978-330-15-4** The guidance in this Subtopic does not apply to the following transactions and activities:
- Time-sharing transactions transactions that fail to meet all of the criteria in paragraph [606-10-25-1](#) and, therefore, are accounted for in accordance with paragraphs [606-10-25-6 through 25-8](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Amenities

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Common Costs

Costs that relate to two or more units or phases within a real estate or time-sharing project.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Holding Period

The period during which a time-sharing interval is held for sale. Sellers may offer time-sharing units for rent during such holding periods.

Incidental Operations

Revenue-producing activities engaged in during the holding or development period to reduce the cost of developing the property for its intended use, as distinguished from activities designed to generate a profit or a return from the use of the property.

Incremental Costs of Incidental Operations

Costs that would not be incurred except in relation to the conduct of incidental operations. Interest, taxes, insurance, security, and similar costs that would be incurred during the development of a real estate project regardless of whether incidental operations were conducted are not incremental costs.

Incremental Revenues from Incidental Operations

Revenues that would not be produced except in relation to the conduct of incidental operations.

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Mini-Vacation

A marketing program under which a time-share developer offers, for a fee, a short (typically, two to three days) visit to a destination where the developer operates a project. The developer typically subsidizes the fee to the customer for the mini-vacation in exchange for the customer attending a sales presentation at the project. The mini-vacation may include room accommodations, entertainment tickets, and similar items of value. The customer typically accepts the offer of the fee subsidy in exchange for his or her attending the sales presentation.

Phase

A contractually or physically distinguishable portion of a real estate project (including time-sharing projects). That portion is distinguishable from other portions based on shared characteristics such as:

- a. Units a developer has declared or legally registered to be for sale
- b. Units linked to an owners association
- c. Units to be constructed during a particular time period
- d. How a developer plans to build the real estate project.

Promised Amenities

Amenities that a developer is obligated to construct under the terms of time-sharing contracts with purchasers. See also [Amenities](#).

Relative Sales Value Method

The relative sales value method is similar to a gross profit method and is used to allocate inventory cost and determine cost of sales in conjunction with a sale. Under the relative sales value method, cost of sales is calculated as a percentage of net sales using a cost-of-sales percentage—the ratio of total estimated cost (including costs to complete, if any) to total estimated time-sharing revenue. Time-sharing revenue is calculated as total expected future revenue adjusted for total expected future bad-debt expense.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Sampler Program

A marketing program under which a time-share developer offers a customer, who has previously toured one of the developer's projects, a stay at one of the projects at a reduced rate. In exchange, the customer agrees to take another, subsequent tour of the project selected under the sampler program during the customer's stay at that project. If the subsequent tour results in a sale, the developer may allow the customer to apply some or all of the amount paid for the sampler toward the purchase of a time-share, as a part of the down payment. Also referred to as Exit Program.

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Share

See [Interval](#).

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Interest

See [Interval](#).

Time-Sharing Special-Purpose Entity

An entity, typically a corporation or a trust, to which a seller transfers time-sharing real estate in exchange for the entity's stock, membership interests, or beneficial interests.

Upgrade

A time-sharing transaction whereby a customer relinquishes the right to a currently held time-sharing interval and obtains a higher-priced time-sharing interval from the same seller.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Accounting for Cost of Sales and Time-Sharing Inventory

- 978-330-30-1** Sellers of [time-sharing](#) intervals shall account for cost of sales and time-sharing inventory using the [relative sales value method](#). The relative sales value method shall be applied to each [phase](#) separately. [Common costs](#), including [amenities](#), shall be allocated to inventory among the phases that those costs will benefit.
- 978-330-30-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 978-330-30-3** See paragraph [978-330-35-1](#) for additional guidance related to the determination of total time-sharing revenue and total cost estimates.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Accounting for Cost of Sales and Time-Sharing Inventory

- 978-330-35-1** At least quarterly, both total [time-sharing](#) revenue (actual to-date plus expected future revenue) and total cost estimates shall be recalculated. A time-sharing entity shall adjust at least quarterly even if it does not issue quarterly financial reports under Securities and Exchange Commission (SEC) reporting requirements. The estimate of total time-sharing revenue (actual to-date plus expected future revenue) for use in the [relative sales value method](#) shall incorporate factors such as incurred or estimated uncollectibles, changes in sales prices or sales mix, repossession of intervals that the seller may or may not be able to resell, effects of [upgrade](#) programs, and past or expected sales incentives to sell slow-moving inventory units. Such amounts should be included in the estimate of total time-sharing revenue for use in the relative sales value method even when those amounts are recognized as bad-debt expense within the statement of comprehensive income rather than included within the revenue recognized. The cost-of-sales percentage shall be similarly recalculated each time estimated revenue (including amounts reported or expected to be reported as revenue or as bad-debt expense) or cost is adjusted, using the new estimate of total time-sharing revenue and total cost (including costs to complete, if any). The effects of changes in estimate for cost shall be accounted for in each period using a current-period adjustment, that is, the [time-share](#) seller shall account for a change in estimate in the period of change so that the balance sheet at the end of the period of change and the accounting in subsequent periods are as they would have been if the revised estimates had been the original estimates. The effects of changes in estimate shall be disclosed in accordance with paragraph [250-10-50-4](#). The inventory balance reported in the balance sheet, plus estimated costs to complete that inventory, if any, represents a pool of costs that will be charged against future revenue.
- 978-330-35-2** The recording of an adjustment for expected uncollectibles is accompanied by a corresponding adjustment to cost of sales and inventory that is effected through the application of the cost-of-sales percentage. However, under the relative sales value method, there is no accounting effect on inventory if a time-sharing [interval](#) is repossessed or otherwise reacquired unless the repossession causes a change in expected uncollectibles. The seller shall, however, perform impairment testing on its inventory in accordance with paragraphs [360-10-35-38 through 35-40](#), [360-10-35-43](#), and [360-10-40-5](#).
- 978-330-35-3** Revenue from and costs of rental and other operations during holding periods shall be accounted for as [incidental operations](#). [Incremental revenue from incidental operations](#) in excess of [incremental costs from incidental operations](#) shall be accounted for as a reduction of inventory costs—that is, the pool of inventory costs under the relative sales value method as described in paragraph [978-330-35-1](#). Estimates of future amounts of such excess should not be factored into the calculations of the relative sales value method. Incremental costs in excess of incremental revenue should be charged to expense as incurred.

> Operations during Holding Periods

- 978-330-35-4** [Holding period](#) operations include [sampler programs](#) and [mini-vacations](#). During holding periods, time-sharing intervals shall be accounted for as inventory and shall not be depreciated. Costs of operations during holding periods include seller subsidies and maintenance and related costs on time-sharing intervals held for sale.
- 978-330-35-5** For time-sharing operations, the holding period (as that term is used in the definition of [incidental operations](#)) begins at the time that intervals are held for and are available for sale—for example, when units in domestic locations are legally registered for sale as time-shares. A seller shall evaluate each period as to whether units previously considered held for and available for sale shall continue to be characterized as such.

978-330-35-6 If rental activities occur other than during the holding period, the corresponding units shall be depreciated and those activities shall be accounted for as rental operations in accordance with Subtopic [842-30](#) on leases—lessors.

50 Disclosure

i General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

978-330-50-1 See paragraph [978-330-35-1](#) for disclosure requirements for changes in estimates used to perform the [relative sales value method](#).

978 Real Estate—Time-Sharing Activities 340 Other Assets and Deferred Costs

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-340-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Deposit Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Incidental Operations	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Phase	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Phase (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014

Project	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
978-340-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-340-25-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-340-25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-340-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-340-40-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-340-60-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-340-05-1 This Subtopic addresses real estate [time-sharing](#) deferred cost recognition issues.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-340-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Holding Period

The period during which a time-sharing interval is held for sale. Sellers may offer time-sharing units for rent during such holding periods.

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Share

See [Interval](#).

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Interest

See [Interval](#).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Costs to Sell Time-Sharing Intervals

978-340-25-1 All costs incurred to sell [time-sharing intervals](#) should be charged to expense as incurred unless they specifically qualify for capitalization in accordance with the guidance in paragraphs [340-40-25-1](#) through [25-4](#).

- a. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)

978-340-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

978-340-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

> Costs Related to Financing

978-340-25-4 Costs incurred by a seller that are related to financing, such as loan origination costs, shall be accounted for in accordance with Subtopic [310-20](#).

> Costs to Rent Units During Holding Periods

978-340-25-5 Costs incurred to rent units during holding periods shall be deferred if they are both:

- a. Directly associated with, and their recovery is reasonably expected from, transactions involving the rental of units during holding periods
- b. Incremental, that is, the costs would not have been incurred by the seller had a particular [holding period](#) rental transaction not occurred.

An example of a directly associated, incremental cost is a commission. Deferred costs to rent time-sharing units during holding periods shall be charged to expense, or netted in the reduction of inventory costs (as described in paragraph [978-330-35-3](#)), in the period in which the rental takes place.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

978-340-40-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

978-340-40-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

60 Relationships

- i General Note:** The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

978-340-60-1 For expense determination of all costs incurred to sell [time-sharing intervals](#) see Subtopic [340-40](#) on the incremental cost of obtaining a contract with a customer.

978 Real Estate—Time-Sharing Activities

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-605-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Affinity Program	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Amenities	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Assumption	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Continuing Investments	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Continuing Involvement (2nd def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Contract-for-Deed	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Exchange (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Fixed Time	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Full Accrual Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Incentive	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Independent Third Party	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Inducement	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Interval	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Mini-Vacation	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Other than Retail Land Sales	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Owners Association	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

Percentage-of-Completion Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Phase	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Phase (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Planned Amenities	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Points	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Project	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Promised Amenities	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Recourse	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Relative Sales Value Method	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Reload	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Reload Transaction	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Reload Transaction	Added	Accounting Standards Update No. 2014-06	03/14/2014
Rescission	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Right-to-Use	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Sales Value	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Sampler Program	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Tenancy-for-Years	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Time-Share	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Time-Sharing	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Time-Sharing Interest	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Time-Sharing Special-Purpose Entity	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

Uncollectibility	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Unit	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Upgrade	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Upgrade Transaction	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Vacation Club	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-10-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-25-1 through 25-21	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-25-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
978-605-25-12	Amended	Accounting Standards Update No. 2014-06	03/14/2014
978-605-30-1 through 30-10	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-30-6	Amended	Accounting Standards Update No. 2014-06	03/14/2014
978-605-55-1 through 55-95	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
978-605-55-16	Amended	Accounting Standards Update No. 2014-06	03/14/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

10 Objectives

- ① **General Note:**The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

978-605-10-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

- ① **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- ① **General Note for Financial Instruments:**Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

978-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

978-605-25-1	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-2	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-3	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-4	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-5	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-6	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-7	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-8	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-9	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-10	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-11	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-12	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-13	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-14	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-15	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-16	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-17	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-18	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-19	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-20	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-25-21	Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 978-605-30-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-3** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-8** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-9** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-30-10** Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

- 978-605-55-1** Paragraph superseded by Accounting Standards Update No. 2014-09.

978-605-55-2	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-3	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-4	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-5	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-6	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-7	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-8	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-9	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-10	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-11	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-12	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-13	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-14	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-15	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-16	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-17	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-18	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-19	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-20	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-21	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-22	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-23	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-24	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-25	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-26	Paragraph superseded by Accounting Standards Update No. 2014-09.

978-605-55-27	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-28	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-29	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-30	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-31	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-32	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-33	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-34	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-35	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-36	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-37	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-38	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-39	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-40	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-41	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-42	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-43	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-44	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-45	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-46	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-47	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-48	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-49	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-50	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-51	Paragraph superseded by Accounting Standards Update No. 2014-09.

978-605-55-52	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-53	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-54	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-55	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-56	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-57	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-58	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-59	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-60	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-61	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-62	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-63	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-64	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-65	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-66	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-67	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-68	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-69	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-70	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-71	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-72	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-73	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-74	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-75	Paragraph superseded by Accounting Standards Update No. 2014-09.
978-605-55-76	Paragraph superseded by Accounting Standards Update No. 2014-09.

- 978-605-55-77** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-78** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-79** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-80** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-81** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-82** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-83** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-84** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-85** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-86** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-87** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-88** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-89** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-90** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-91** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-92** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-93** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-94** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 978-605-55-95** Paragraph superseded by Accounting Standards Update No. 2014-09.

978 Real Estate—Time-Sharing Activities

720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-720-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	978-720-25-1 through 25-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 978-720-05-1** This Subtopic addresses real estate [time-sharing](#) recognition issues for other expenses. Other expenses may include selling costs, [seller subsidies](#), and [owners association](#) costs.
- 978-720-05-2** [Time-share](#) projects typically incur significant operating costs, such as costs of property taxes, repairs and maintenance, and reservation systems. Time-share owners are responsible for paying for the costs of owning their intervals. Because there are many time-share owners for a given [project](#), a centralized mechanism generally is used to collect each owner's share of those costs of ownership and to pay for operating costs.
- 978-720-05-3** A time-share seller typically forms an owners association to manage the day-to-day operations of a project. Time-share owners pay assessments to the owners association. The activities of an owners association are governed by its bylaws and by a board of directors. Typically, an owners association will hire a manager to handle the day-to-day operations. Often, an affiliate of the original time-share seller

is hired by an owners association to manage a project. Because the time-share seller owns a majority of units at the beginning of the sellout of a project, it typically will appoint members of the owners association's board of directors.

978-720-05-4 Selling and marketing costs are significant in relation to sales revenue, and sales incentives and inducements are common.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Incidental Operations

Revenue-producing activities engaged in during the holding or development period to reduce the cost of developing the property for its intended use, as distinguished from activities designed to generate a profit or a return from the use of the property.

Interval

The specific period (generally, a specific week) during the year that a time-sharing unit is specified by agreement to be available for occupancy by a particular customer. Also denoted [Time-Sharing Interest](#) or [Time-Share](#).

Owners Association

A body of owners formed to administer the rules and regulations of a time-sharing project. Also denoted homeowners association, interval owners association, property owners association, or vacation owners association.

Project

A time-sharing development; some projects may be completed in a single phase, such as a single, one-story building containing several time-sharing units. Other projects may be completed in several phases, for example:

- a. A hotel that is being converted to time-sharing units one floor at a time while the unconverted units continue to be rented
- b. A number of buildings, each containing several time-sharing units, being built on a piece of property over an extended period of time.

Seller Subsidy

As related to time-sharing transactions, an amount that a seller pays to an owners association to cover net losses that may be incurred by the association.

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Share

See [Interval](#).

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Interest

See [Interval](#).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Selling Costs

978-720-25-1 All costs incurred to sell [time-sharing](#) intervals shall be charged to expense as incurred unless they specifically qualify for capitalization under paragraphs [340-40-25-1 through 25-4](#).

978-720-25-2 Examples of costs that do not meet the requirements in paragraphs [340-40-25-1 through 25-4](#) for capitalization, and that shall therefore be charged to expense as incurred, include all costs incurred to induce potential buyers to take sales tours (for example, the costs of telemarketing call centers); all costs incurred for unsuccessful sales transactions; and all sales overhead such as on-site and off-site sales office rent, utilities, maintenance, and telephone expenses. Advertising costs shall be accounted for in accordance with Subtopic [720-35](#). Direct incremental costs of tour fulfillment, such as costs of airline tickets to bring customers to a tour location, shall be charged to expense at the time the tour takes place.

> Seller Subsidies

978-720-25-3 During early stages of [project](#) sellout, there are typically not enough dues-paying time-sharing [interval](#) owners to support the financial obligations of the [owners association](#). Often a [time-share](#) seller, for a limited period of time, subsidizes the operations of the owners association rather than paying the dues or maintenance fees on the time-sharing intervals that it owns (that is, the unsold intervals in the project). Subsequent to that period, the time-share seller pays dues or maintenance fees on the time-sharing intervals that it owns. Payments by the seller of dues or maintenance fees, except when accounted for as [incidental operations](#) during holding periods under paragraphs [978-330-35-3 through 35-6](#), shall be charged to expense as incurred. Payments by the seller of additional amounts to subsidize losses shall be charged to expense as incurred. If a seller is contractually entitled to recover from the owners association all or a portion of its subsidy, the seller shall record a receivable only if recovery is probable and measurable with reasonable reliability.

978 Real Estate—Time-Sharing Activities

810 Consolidation

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-810-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Time-Sharing Undivided Interest (2nd def.)	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	978-810-25-4	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
		Amended	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-810-05-1 This Subtopic addresses consolidation and recognition issues for certain special-purpose entities related to real estate [time-sharing](#) activities.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [978-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Tenancy-for-Years

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

Time-Sharing

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

Time-Sharing Special-Purpose Entity

An entity, typically a corporation or a trust, to which a seller transfers time-sharing real estate in exchange for the entity's stock, membership interests, or beneficial interests.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

978-810-25-1 A seller may establish a [special-purpose entity](#).

978-810-25-2 Topic [810](#) provides guidance on whether special-purpose entities that are variable interest entities (VIEs) should be consolidated.

978-810-25-3 For balance-sheet presentation purposes, a special-purpose entity shall be viewed as an entity lacking economic substance and established solely for the purpose of facilitating sales if both of the following conditions are met:

- a. The special-purpose entity structure is legally required by the applicable jurisdiction(s) to sell [time-sharing](#) intervals to the nonresident customers that the developer-seller wishes to sell to (for example, for purposes of being able to sell intervals to United States citizens in a country in which citizens of other countries are not allowed to own real estate).
- b. The special-purpose entity has no assets, other than the time-sharing intervals, and the special-purpose entity has no debt.

In those circumstances, the seller should show on its balance sheet as time-sharing inventory the interests in the special-purpose entity not yet sold to end users and the seller would not be subject to the consolidation, equity method investment, or cost method investment accounting standards. If a special-purpose entity does not meet the conditions above, the accounting and presentation shall be consistent with investments in other special-purpose entity structures (for example, the consolidation of controlled special-purpose entities and special-purpose entities in which no other entity has adequate capital at risk).

978-810-25-4 In such cases, see the following guidance:

- a. The Variable Interest Entities Subsections of Subtopic [810-10](#) for guidance on whether special-purpose entities that represent VIEs should be consolidated
- b. Topic [810](#) for consolidation of entities that are not VIEs
- c. Subtopic [323-10](#) and Topic [321](#) for the accounting when the investment is not required to be consolidated.

978 Real Estate—Time-Sharing Activities

840 Leases

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

978-840-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract-for-Deed	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Tenancy-for-Years	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Time-Sharing	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Time-Sharing	Amended	Accounting Standards Update No. 2014-06	03/14/2014
Undivided Interest (2nd def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
978-840-05-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
978-840-15-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
978-840-25-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
978-840-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
978-840-25-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

978-840-05-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

978-840-15-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Tenancy-for-Years](#)

A time-sharing arrangement in which a customer has a qualified right to possession and use of a time-sharing interval for a certain number of years, after which it reverts to the seller or a third party. Also known as Estate-for-Years or Term-for-Years.

[Time-Sharing](#)

An arrangement in which a seller sells or conveys the right to occupy a dwelling unit for specified periods in the future. Forms of time-sharing arrangements include but are not limited to fixed and floating time, interval ownership, undivided interests, points programs, vacation clubs, right-to-use

arrangements such as [tenancy-for-years](#) arrangements, and arrangements involving special-purpose entities. In this context, an undivided interest is a time-sharing arrangement that involves a tenant-in-common interest in a condominium unit or entire improved property, and in which the interest holder is assigned a specific period (generally, a specific week). The interest holder is also assigned a specific unit if the undivided interest is in the entire improved property.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

978-840-25-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

978-840-25-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)